



Airline Seat Pricing Dynamics

What influences the price of your airfare?

Analysis under standard conditions and variables controllable by the passenger

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Data

Dataset: ~300,000 observations across major Indian airlines, and cities

Questions

- 1) *What drives airline ticket prices?*
- 2) *How much impact does each factor have?*

Hypothesis:

Price depends on:

- **days before departure**
- **stops**
- **duration**

Key Insights



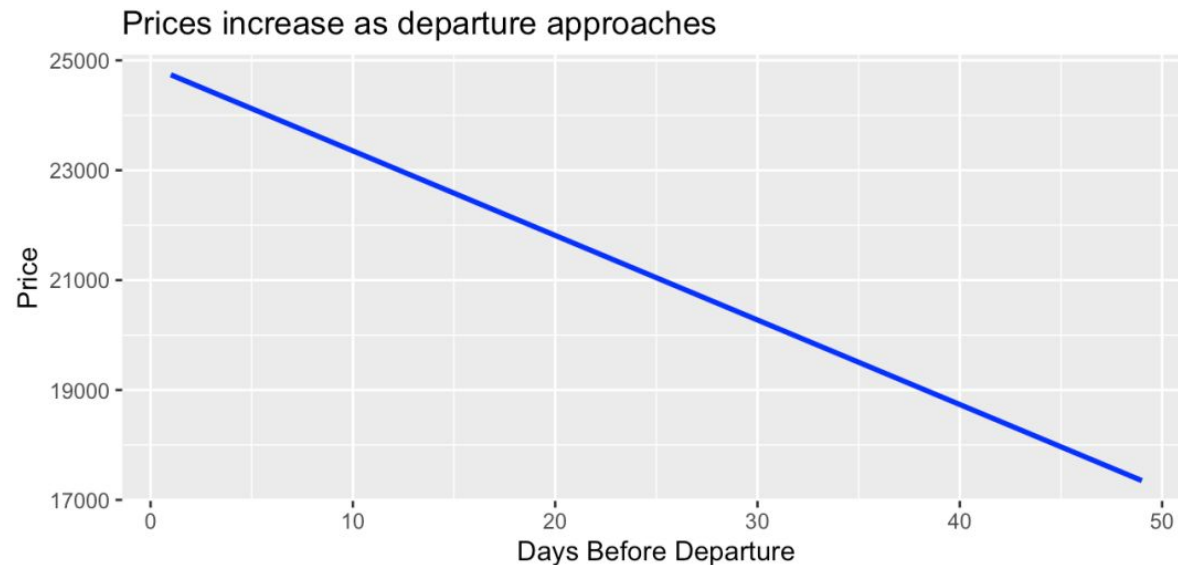
Primary Driver: Lead Time

The most significant factor influencing pricing is the **number of days prior to departure**, overriding airline or route variables.



Daily Price Escalation

Prices exhibit a consistent upward trajectory, **increasing ~1.5%** for **every day** closer to the scheduled departure.

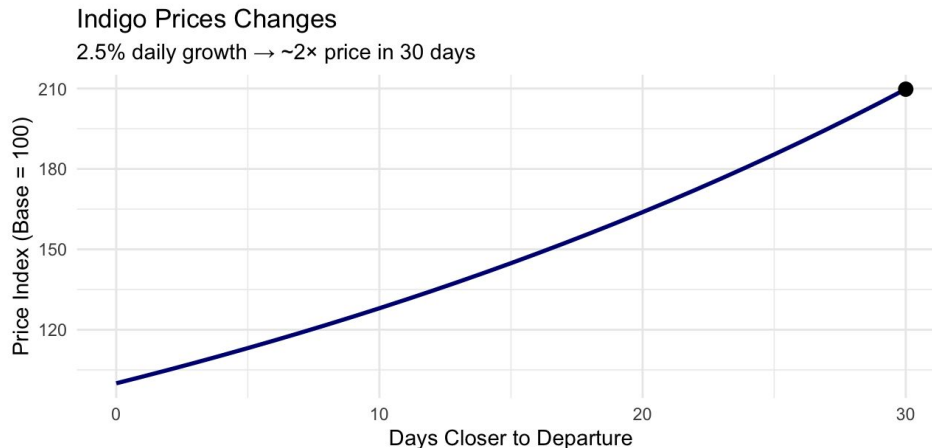
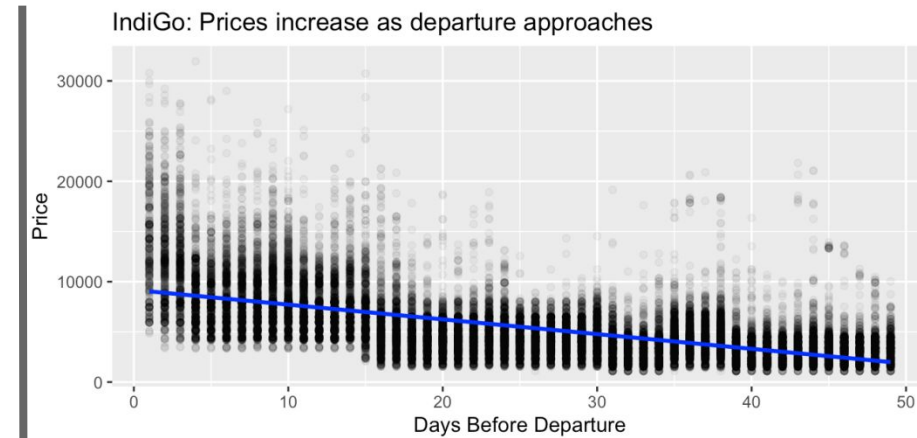


Example: Indigo



The **departure date** is the again the most significant factor in price determination.

Price increase **~2.5%** per day closer to departure



The price increase visualized with an index, indicating that the **price doubles** within **30 days**.

Conclusion



Prices rise **predictably** as departure approaches



Large variation suggests strong influence of **demand** and **inventory**



Key drivers not captured:

demand spikes, competition, seat availability

however these are out of the control of the price taker, i.e., the passenger